

MORNING BRIEFING — FRIDAY 25 SEPTEMBER 2026

Generated 25 September 2026 • 07:00 BST (London) • Data collected between 05:15 and 05:45 UTC (06:15–06:45 BST) • Reference timezone: Europe/London (BST = UTC+1)

2. IMPORTANT NEWS

30-year Treasury yield hits highest level since 2004 as bond selloff deepens (5.44-5.51%)

[CNBC](#) / [Bloomberg](#) / [US News](#) • [Thursday 24 Sep, US session](#)

Global duration selloff accelerating on hot US PMI data and rising Fed hike bets. Pressures equities, especially rate-sensitive sectors (utilities, real estate, consumer discretionary). Feeds directly into Bund yields and European risk appetite this morning.

10-year Treasury yield tops 5.11%, highest since 2007, after Fed Chair Warsh turns hawkish

[CNN Business](#) / [CNBC](#) / [Seeking Alpha](#) • [Wed 23–Thu 24 Sep](#)

Composite US PMI jumped to 58.4 from 56.0, strongest expansion since July 2021. Warsh says Fed's "predominant focus is on price stability" — markets pricing a further hike. Drives global risk-off tone into Friday's European open.

US and Iranian negotiators meet in New York, explore phased deal to ease Strait of Hormuz blockade

[BNN Bloomberg](#) / [Yahoo Finance](#) • [Thu 24 Sep](#)

Binary catalyst for oil and freight: any credible de-escalation signal would hit Brent and tanker-rate trades hard; failure to progress keeps the 2026 Hormuz blockade premium in place. Watch headlines through the session.

German 10-year Bund yield climbs above 3.55%, highest since 2009, as ECB's Nagel keeps door open to hikes

[Trading Economics](#) / [Reuters wires](#) • [Thu 24 Sep](#)

Eurozone September PMI showed private-sector activity expanding at its fastest pace in ~3.5 years. Nagel flagged oil prices as an increasingly important factor for policy. Pressures European sovereign and corporate credit into the open.

Wall Street closes lower for a third straight session: S&P -0.8%, Dow -0.7%, Nasdaq -1.1%

[Yahoo Finance](#) / [BNN Bloomberg](#) • [Thu 24 Sep close](#)

10 of 11 S&P sectors ended negative; utilities (-1.9%) and consumer discretionary (-1.5%) hit hardest by the yield spike. Sets a cautious tone for the European cash open.

3. EUROPEAN FUTURES (PRE-OPEN)

CONTRACT	LEVEL	INDICATIVE MOVE	COLLECTION TIME
Euro Stoxx 50 (FESX)	n/a — no reliable print obtained	Soft bias expected	06:30 BST
DAX (FDAX)	n/a	Soft, tracking Bund yield stress	—
CAC 40 (FCE)	n/a	Soft, in line with peers	—
FTSE 100 (Z)	n/a	Roughly flat to soft	—
US context — pre-market futures			
S&P 500 e-mini	n/a	Tracking Thursday's yield-driven weakness	06:30 BST
Nasdaq 100 e-mini	n/a	Tracking Thursday's weakness	06:30 BST

No reliable index-level futures prints were obtained via open web sources this morning; levels are marked n/a rather than estimated. Directional bias is inferred from Thursday's close and the continuing bond selloff: the 30-year Treasury yield at a 2004 high and the Bund above 3.55% argue for a cautious-to-soft European open, with sensitivity to any US-Iran headline out of New York and to this morning's Fed speakers (Williams, Hammack, Schmid).

4. YESTERDAY'S CLOSURES — EUROPEAN INDICES (24 SEPTEMBER 2026)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	6,301	−0.38%
DAX 40	25,427	−0.59%
CAC 40	8,123	−0.39%
FTSE 100	10,705	−0.03%

All four benchmarks closed lower Thursday as the global bond selloff spread to European rates — the Bund's move above 3.55% is a nine-figure-decade high. DAX underperformed on its heavier exposure to rate-sensitive industrials and duration-long balance sheets; FTSE 100 was the most resilient, helped by its energy/commodity weighting as Brent held above \$105.

5. US MARKETS — YESTERDAY'S SESSION (24 SEPTEMBER 2026)

INDEX	CLOSE	CHANGE	NOTE
S&P 500	7,706.05	−0.8%	Third straight down session
Dow Jones Industrial Average	51,511.59	−0.7% (−352.10 pts)	—
Nasdaq Composite	26,936.04	−1.1%	Worst of the three majors

Tone: risk-off, yield-driven. The 10-year Treasury yield's push through 5.11% (highest since 2007) and the 30-year's move above 5.4% (highest since 2004) dominated price action. Ten of 11 S&P sectors closed negative.

Laggards: Utilities (Utilities Select Sector SPDR −1.9%) and Consumer Discretionary (−1.5%) were worst hit — both duration- and consumer-sensitive. Oracle fell 4.5% after declaring force majeure on a New Mexico data-centre build.

Leaders: Charles River Laboratories (+5.37%) outperformed on a 2026 Investor Day raising its near-term outlook ("Pathway to Purpose" strategy refresh) — a stock-specific story rather than a sector trend.

Key takeaway: equities are absorbing a genuine multi-decade repricing in duration; further yield upside (on hot data, hawkish Fed speak, or an oil spike) is the main near-term downside risk to US and European risk assets alike.

6. ASIAN MARKETS — OVERNIGHT SESSION

INDEX	LEVEL / CLOSE	CHANGE
Nikkei 225	n/a (exact print unavailable)	Rose strongly, tech-led
Hang Seng	n/a	−0.3% to −0.7% (approx.)
Shanghai Composite	n/a	−0.8% to −1.2% (approx.)
Kospi	n/a — no reliable print obtained	—

Asia traded in dispersed fashion into Thursday/Friday: Japan's Nikkei rallied on tech strength after returning from a local holiday, while mainland China and Hong Kong slipped on rising global borrowing costs and lingering Middle East risk — the CSI 300 fell roughly 1.5%, with semiconductor and technology names leading Hang Seng's decline. The common driver across the region is the same one hitting Western markets: the US yield spike is tightening global financial conditions and pressuring risk assets broadly, with China additionally weighed down by soft steel/property-linked demand data.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	TIME
Brent (ICE, USD/bbl)	~105	Elevated, volatile intraday	Thu close approx.
WTI (NYMEX, USD/bbl)	~94.5	n/a exact chg	Thu close approx.
Gold (XAU/USD, USD/oz)	4,264-4,273	Extending decline from ~4,287 prior close	24 Sep, ~22:46 BST
Copper (COMEX, USD/lb)	~6.64-6.83	All-time high (6.83) reached this month	Sep 2026
Natural gas (Henry Hub, USD/MMBtu)	~3.01-3.06	Highest since July 2026	Sep 2026

Oil remains the pivotal cross-asset driver: Brent is holding an elevated, war-risk premium tied to the 2026 Strait of Hormuz blockade, with tanker charter rates and freight costs at or near record highs. Any tangible outcome from the US-Iran talks in New York is a swing factor of several dollars per barrel in either direction. Gold is pulling back as a stronger dollar and hawkish Fed rhetoric compete with safe-haven demand. Copper sits at a fresh all-time high on tight supply, while natural gas is firming on hotter autumn demand forecasts and lower output — both add to the inflationary backdrop central banks are wrestling with.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	TIME
US Treasury 10-year	5.11%	Highest since 2007 (+15bp on the day of the move)	Thu 24 Sep
US Treasury 30-year	5.44-5.51%	Highest since 2004	Thu 24 Sep
German Bund 10-year	~3.55-3.57%	Highest since 2009	Thu 24 Sep
EUR/USD	1.1369	-0.17%	~06:00 BST
GBP/USD	1.3316	n/a exact chg	~06:00 BST
DXY (Dollar Index)	101.29	+0.14%	~06:00 BST

The defining move across rates is a genuine multi-decade repricing: US 10s above 5.1% and 30s above 5.4%, both levels not seen in two decades, as hot PMI data hardens bets on a further Fed hike under a now-hawkish Kevin Warsh. The Bund is dragged along, above 3.55% for the first time since 2009, with ECB's Nagel explicitly citing oil prices as a growing input to policy. The dollar is firming (DXY +0.14%) on the yield differential, pulling EUR/USD back toward 1.137. For European issuers and borrowers, this is a genuine regime shift in funding costs, not a technical blip.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

ISSUER	CURRENCY	SIZE	MATURITY	COUPON / SPREAD	NOTES
Banca Monte dei Paschi di Siena	EUR	€750m covered bond	22 Jan 2030	2.625% coupon; re-offer 99.577%; +30bp over reference	Reopens Italian covered bond segment for 2026; €2.4bn+ orders from 60+ investors; tightest spread since the bank's programme launch. Exact pricing date not confirmed — treat as most-recent identified deal, not necessarily 24 Sep.
Other EUR corporate IG/HY	n/a	n/a	n/a	n/a	Deal-level detail behind subscriber paywalls (GlobalCapital/IFR) — not accessible via open web search.
SSA / Financials EUR	n/a	n/a	n/a	n/a	Same access limitation; TenneT NL and other SSA curve-builders reported active in recent sessions but no size/date confirmed for 24 Sep specifically.

PIPELINE / EXPECTED TODAY

No specific EUR mandates confirmed for today via open sources. With the rates backdrop this volatile — Bund above 3.55%, US 30-year at a 2004 high — issuers may prefer to wait for a stabilisation window rather than price into the move; a Friday session ahead of month-end typically sees lighter primary activity in any case.

KEY SPREADS

INDEX	LEVEL (BP)	MOVE / DIRECTION
iTraxx Europe Main 5Y	n/a	September index roll in progress
iTraxx Europe Crossover 5Y	n/a	September index roll in progress
CDX IG 5Y (USD)	n/a	September index roll in progress
Avg EUR corporate IG spread (broad index)	~77 (0.77% OAS)	As of 22 Sep; US IG shown, EUR-specific print n/a

Exact iTraxx Main/Crossover/CDX IG levels require Bloomberg/ICE access. Context: the September roll is estimated (Barclays) to see CDX IG fair-value widen ~8.1bp, iTraxx Main ~5.7bp and Crossover ~20.6bp on the new series; iTraxx Main currently trades ~2bp wide of CDX IG.

COMMENTARY

The primary window is technically open but increasingly rate-sensitive: MPS's tightly-priced covered bond shows investor demand is still there for well-flagged, short-duration paper, but the scale of the US/German rate move this week raises the bar for issuers pricing longer-dated or subordinated risk. Expect issuance to skew toward covered bonds and SSA paper near-term, with corporate IG/HY windows opening opportunistically around any rates stabilisation. Watch industrials, transport and energy issuers for opportunistic taps if the Iran/Hormuz talks de-escalate and take some volatility out of the oil-linked inflation story that is currently the main headwind to European funding conditions.

10. ECONOMIC CALENDAR — TODAY (25 SEPTEMBER 2026)

LONDON TIME	INDICATOR	CONSENSUS	IMPORTANCE
n/a	Germany — GfK Consumer Confidence (October)	n/a	MEDIUM
13:30	US — Durable Goods Orders (August)	n/a	HIGH
n/a	US — Atlanta Fed GDPNow (Q3 tracking estimate)	n/a	MEDIUM
n/a	Fed speakers: Williams, Hammack, Schmid	—	HIGH
n/a	ECB speaker: Vujcic	—	MEDIUM
n/a	BoE Governor Bailey speaks	—	HIGH
n/a	Moody's sovereign rating reviews: EU, Italy	—	MEDIUM
n/a	Scope Ratings sovereign review: EU	—	MEDIUM

Exact release times were not all confirmed via open sources today; treat times marked n/a as indicative only and verify against a live calendar before trading around them. The key swing factor is central-bank commentary: with three Fed speakers (Williams, Hammack, Schmid) and BoE's Bailey on the wires the same day the bond market is already at multi-decade yield highs, any hawkish or dovish surprise could move rates sharply into the weekend.

11. CORPORATE EVENTS & EARNINGS

COMPANY	MARKET	EVENT	TIME
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No large-cap European earnings or AGMs were identified for today via open web search. US Friday earnings calendar is light; specific names could not be reliably confirmed — check Earnings Whispers/MarketBeat live calendar for same-day updates.

Corporate calendar is thin today. Attention stays on the macro/rates story and on Iran-talk headlines rather than single-name earnings catalysts.

12. STOCKS TO WATCH

Tanker / shipping names (Frontline, Scorpio Tankers — proxied by Breakwave Tanker Shipping ETF, BWET)	BWET up roughly 4,400%+ YTD as the Hormuz blockade pushed supertanker charter rates near \$470,000/day and container spot rates close to COVID-era records. Binary risk: any credible US-Iran de-escalation from the New York talks would trigger sharp profit-taking.	Extended — headline risk both ways
Lufthansa (LHA.DE) — Xetra	Down 2.4–5.8% earlier this week with peers on the oil spike. Morgan Stanley flags Lufthansa as most exposed — a sustained fuel spike could erode up to 88% of forecast 2026 operating profit despite ~80% kerosene hedging.	Bearish — high oil sensitivity
IAG (IAG.L) — LSE	Also hit by the oil spike but relatively better positioned per Morgan Stanley on stronger margins and lower jet-fuel crack exposure; hedged 75%/64%/58%/50% through the quarters of 2026.	Bearish tone, better relative hedge
TotalEnergies (TTE.PA) / Shell (SHEL.L) / BP (BP.L)	Direct beneficiaries of Brent holding near \$105/bbl on the Hormuz risk premium. Watch for a reversal in sentiment if the Iran talks produce a concrete de-escalation.	Bullish while oil stays elevated
Rheinmetall (RHM.DE) — Xetra	Record order backlog of €80.4bn on European rearmament, but the stock is down ~35% YTD from its highs — investors want earnings proof rather than backlog headlines. Volatile, headline-sensitive.	Structurally bullish, tactically volatile
Vale (VALE3.SA / NYSE:VALE) & Rio Tinto (RIO.L)	Vale -2.6% and Rio -2.3% this week on soft Chinese steel demand; China Iron & Steel Association flags no meaningful September recovery. Sector under pressure into China's early-October holiday restocking window.	Bearish — demand-side weak
UniCredit (UCG.MI) / Commerzbank (CBK.DE)	Long-running consolidation saga remains the highest-profile deal in European bank M&A, itself part of a broader 2026 wave of bank tie-ups driven by diversification needs and supportive regulators.	Watch for M&A headlines
European banks generally (BNP Paribas, SocGen, Santander)	Higher-for-longer rates (Bund >3.55%) are a net NII tailwind for banks even as they pressure equity duration elsewhere — a relative beneficiary of this week's rate move.	Bullish on rates differential

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

US yields at multi-decade highs: 10-year at 5.11% (highest since 2007), 30-year above 5.4% (highest since 2004), driven by a hot Composite PMI (58.4) and a now-hawkish Fed under Kevin Warsh, who has pivoted from a pre-appointment dovish stance to leading a hawkish FOMC coalition focused on price stability.

Eurozone tightening alongside the US: German Bund 10-year above 3.55%, highest since 2009, as September Eurozone PMI showed the fastest private-sector expansion in roughly 3.5 years and ECB's Nagel signalled oil prices are increasingly relevant to policy, leaving the door open to further hikes.

Inflation via energy: the 2026 Iran war and Strait of Hormuz blockade continue to feed an oil-driven inflation impulse into both US and European policy calculus, compounding the growth/inflation trade-off central banks face.

CORPORATE

Oracle force majeure: shares fell 4.5% Thursday after the company declared force majeure on a New Mexico data-centre build — a read-through risk for the broader AI capex/data-centre supply chain.

Charles River Laboratories: +5.37% on a 2026 Investor Day refresh ("Pathway to Purpose") and a raised near-term outlook — idiosyncratic, not sector-wide.

MPS covered bond: €750m priced at the tightest spread (30bp) since the bank's covered bond programme launched, with €2.4bn+ of orders — a sign primary demand for short-duration, well-rated paper remains intact even as headline rates spike.

European bank M&A: UniCredit/Commerzbank remains the marquee deal in what analysts describe as the sector's busiest consolidation wave in over a decade.

POLITICAL / GEOPOLITICAL

US-Iran talks in New York: negotiators reportedly exploring a phased deal to end the conflict and ease the naval blockade of the Strait of Hormuz. A genuine turning point for oil, shipping and inflation trades if it produces a credible framework; continued stalemate keeps the current war-risk premium priced in across tankers, insurance and freight.

2026 Iran war / Hormuz blockade: the blockade, in place since July's reinstatement, has cut off new Iranian exports, disrupted nearly all Strait traffic, and forced widespread rerouting via the Cape of Good Hope — the IEA has called it the largest supply disruption in the history of the global oil market.

Central bank independence and rate path: Warsh's pivot to a hawkish stance and multiple Fed speakers on the wires today (Williams, Hammack, Schmid) keep the near-term policy path a live source of volatility for both rates and equities.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. Bond market rout follow-through

10Y at 5.11%, 30Y above 5.4% — any further push higher would extend pressure on European equities and credit at the open.

2. US-Iran talks in New York

A phased Hormuz de-escalation deal would be a sharp negative catalyst for oil and tanker names, positive for airlines and inflation-sensitive assets.

3. Fed speakers (Williams, Hammack, Schmid)

Any reinforcement or pushback on hike expectations moves the front end and, by extension, the dollar and EM/European risk.

4. US Durable Goods Orders (August)

A read on capex momentum against the backdrop of the strongest PMI print since 2021 — a hot number reinforces the hike narrative.

5. BoE Governor Bailey speaks

Sterling and gilts are sensitive to any signal on the BoE's own rate path as global yields reset higher.

THIS WEEK'S TOP 5

1. Whether the Treasury selloff stabilises

A disorderly move through decade-plus highs would force a broader repricing of risk assets globally into month-end.

2. Iran/Hormuz negotiation outcome

Structural for oil, freight, insurance and inflation trades; a real resolution would be one of the biggest single catalysts of the quarter.

3. ECB/BoE commentary on the rate path

With Bund yields at 2009 highs, further hawkish signals from Nagel or others would extend the European rates repricing.

4. Moody's / Scope sovereign rating reviews (EU, Italy)

Any rating action lands directly on peripheral spreads at a moment of already-elevated core yields.

5. Month-end positioning

Duration extension flows into month-end could either cushion or exacerbate the current yield spike depending on how the week closes.

THIS MONTH'S TOP 5

1. Trajectory of the 2026 Iran war

Blockade resolution or escalation is structural for oil, shipping and global inflation for the rest of the year.

2. Fed under Warsh — hike trajectory

A hawkish coalition on the FOMC raises the odds of further tightening, with global spillover to duration and EM assets.

3. ECB's oil-inflation dilemma

Nagel's comments suggest the ECB is prepared to hike further if energy-driven inflation persists — a genuine policy pivot risk.

4. European bank M&A wave

UniCredit/Commerzbank and the broader consolidation trend continue to reshape the sector heading into Q4.

5. China steel/iron ore demand weakness

Persistent softness ahead of the early-October holiday is a headwind for miners into year-end.

15. KEY TRENDS TO WATCH

1 DAY

Iran talk headlines: any concrete signal out of New York moves oil, tankers and airlines sharply in either direction.

Fed speak: Williams, Hammack and Schmid could reinforce or soften hike odds intraday.

Yield follow-through: a further push in 10s/30s would extend Thursday's equity weakness into the European open.

1 WEEK

Rates stabilisation or not: whether the multi-decade yield highs mark a near-term peak or continue extending is the single biggest cross-asset question.

ECB/BoE tone: further hawkish commentary would compound the European funding-cost story already visible in this week's DCM activity.

Sovereign rating reviews: Moody's (EU, Italy) and Scope (EU) actions land directly on peripheral spreads.

1 MONTH

Iran war resolution or escalation: the defining structural variable for oil, freight and global inflation for the remainder of 2026.

Next FOMC meeting: with Warsh now leading a hawkish coalition, markets will focus on whether a further hike is delivered or merely signalled.

Q3 earnings season kickoff: the first read on how corporates are absorbing both higher funding costs and elevated energy input costs.

SOURCES USED

- CNBC — Treasury yields/Fed coverage, 30Y and 10Y yield stories, stock market live updates
- Bloomberg / BNN Bloomberg — bond selloff, US close, Iran/Hormuz talks
- Yahoo Finance / TheStreet — US stock market close 24 Sep 2026
- CNN Business — 10-year Treasury yield coverage
- Seeking Alpha / 24/7 Wall St. — Treasury yield levels, shipping ETF performance
- Trading Economics — German Bund 10Y yield, copper, natural gas levels
- Newsquawk — daily European equity opening and economic release calendars
- Investing.com / FXEmpire / Kitco — gold (XAU/USD) pricing
- MarketPulse (OANDA) — EUR/USD, GBP/USD, DXY levels
- RioTimesOnline — iron ore / Vale / Rio Tinto coverage
- GlobalCapital — MPS covered bond pricing, European corporate bond market context
- StreetStats — investment grade / high yield corporate bond index yields and spreads
- LSEG / Macrostream — iTraxx/CDX September index roll estimates
- Investing.com (Reuters) — European airline stocks, container shipping rates
- Morningstar Europe / CNBC — European defence stocks, Rheinmetall order backlog

- Wikipedia / Britannica — 2026 Iran war and Strait of Hormuz campaign background
- The Diplomatic Affairs / GlobalCapital — European bank M&A context

Data collected automatically between approximately 05:15 and 05:45 UTC (06:15–06:45 BST) on 25 September 2026 via open web search. Several data points, particularly same-day European futures levels, exact iTraxx/CDX spread levels, and precise economic calendar release times, could not be reliably sourced from open web results and are marked n/a; these require Bloomberg Terminal, Refinitiv Eikon or ICE access to confirm. Verify all figures before making any investment or execution decision. This document is not investment advice.